# The Seimens Note

# Arguments (WIP)

## Legislative Intent

The following points arise for consideration

It is an anti-abuse provision, that is given under the Memorandum to the Finance Act, 2017 when it was introduced.

| Case | Position | Forum |
|---|---|---|
| Medplus | AO cannot take up an alternative position since the Legislature has prescribed a given method and even prescribed a formulae to that extant. It is not possible for the AO to opine that the FMV = Market Value, when Rule 11 prescribes a clear mechanism. | ITAT Hyderabad |
| Rajeev Ratanlal Tulshyan | The provisions of Section 56(2)(vii) were anti-abuse provisions inserted post the abolition of the Gift Tax Act. Cited various Circulars which reinforce the point that the focus of the provisions was to account for gifts, or taxing unaccounted or laundered income. It was held that the transactions were those that could have been taken in the ordinary course of business and no case of abuse could have been made against the assessee. Since the provision aims to act as an anti-abuse provision, curbing tax evasion, it is not applicable in the case of allotment of shares | ITAT Mumbai |
| ACIT v. Ajay Singh | The assessee had obtained shares of Spice Jet, the price of which had been locked in @ ₹1, AO held that it was not at FMV and thus made an addition. Since AO has not considered the fact that FMV as per Rule 11UA cannot be applied to the shares being 'locked-in' the matter has to be remanded. | ITAT Delhi |

| Case | Position | Forum |
|---|---|---|
| Subodh Menon | The assessee had received bonus shares at a consideration below the FMV valuation under Rule 11UA and thus an addition was made under 56(2)(vii). The ITAT held that since there is a proportionate allotment which does not attract 56(2)(vii). Held that it does not apply to bona fide business transactions | ITAT Mumbai |
| Varun Asher | ITO found that the tenancy agreement was a sham to obtain undue deductions. Consequently made an addition of the entire consideration he received for the sale of the tenancy as income under 56(2)(x). It was held the agreement was a valid capital asset and thus the addition under 56(2)(x) had to be deleted. | ITAT Mumbai |
| Circular 10/18 | It is apparent from the legislative intent that clause(viia) was inserted in section 56(2) of the Act as an anti- abuse provision to prevent the practice of transferring shares of a specified company for no or inadequate consideration.<br><br>Keeping in view the legislative intent to apply anti-abuse provision contained in section 56(2)(viia) to transfer of shares for no or inadequate consideration, it is hereby clarified that section 56(2)(viia) of the Act shall apply in cases where a specified company or firm receives the shares of the specified company through transfer for no or inadequate consideration. | CBDT |
| Vaani Estates | The Tribunal held that since the source of investment is genuine and not in dispute, although the shares were transferred at a extravagant premium, the addition under 56(2)(vi) and 56(2)(x) was not possible. By peircing corporate veil, the Tribunal identified that the transfer was between the mother and daughter, thus "no possibility of generation of unaccounted money." The Tribunal also relied upon the FM's speech establishing the provision as an anti-abuse provision. | ITAT Chennai |
| Aqua Technologies | A provision that was enacted to curb abuse, could not be used to the advantage of the Revenue to tax a transaction that was bona-fide in nature. | Supreme Court |